

**Addis Ababa University
School of Commerce
Accounting Program Unit**

**Financial Management I (ACFN 3041)
Model Exit Exam**

March 2023

Each of the following questions must be answered by writing the letter corresponding to your best choice of the list of suggested answers on the space provided on the test booklet.

1. Finance is about:
 - a.Managing people
 - b. Managing the assets and equities of a firm
 - c.Managing the sources and uses of funds firms and individuals
 - d. All except 'a'
 - e.None of the above
2. One of the following is not part of the field of finance:
 - a.Investment
 - b. Financial market and institutions
 - c.Corporate finance
 - d. All of the above
 - e.None of the above
3. Which of the following is not a very common responsibility of a financial manager of a firm?
 - a.Making major investment and financing decisions of a firm
 - b. Managing the risk of a firm
 - c.Gathering and reporting financial performance of a firm to outsiders through financial statements
 - d. All except 'b'
 - e.None of the above
4. A market for short-term debt securities is usually known as:
 - a.Money market
 - b. Capital market
 - c.Physical asset market
 - d. 'b' and 'c'
 - e.None of the above
5. One of the following is not an advantage of financial markets and financial institutions in a particular economy:
 - a.A forum for savers and demanders of funds to meet and execute borrowing and lending transactions
 - b. A means of pooling risk
 - c.Provides liquidity to investors
 - d. All of the above
 - e.None of the above
6. Which of the following factor generally increases interest rate?
 - a.Increase in default risk
 - b. Increase in real risk-free rate of return
 - c.Increase in the general consumer price index
 - d. All of the above
 - e.None of the above

7. A financial management decision that deals with the mix of debt and equity financing of the needs of a firm is:
 - a. Investing and financing decisions
 - b. Capital structure decisions
 - c. Working capital decisions
 - d. All of the above
 - e. None of the above
8. Profit maximization, as the goal of a firm is inappropriate for which of the following reasons?
 - a. Ignores EPS and focuses on total profit of a firm
 - b. Disregard the fact that risk drives return
 - c. Ignores the size of funds disbursed to stockholders as dividends
 - d. All of the above
 - e. None of the above
9. Financial ratios are used for one or more of the following purposes except:
 - a. Making an assessment of credit worthiness of a firm
 - b. Evaluating firm's main competitor's financial performance
 - c. Assessing firm's present financial performance and future prospect
 - d. All of the above
 - e. None of the above
10. A kind of financial analysis used to make comparison between a firm and many other firms in a particular year is known as:
 - a. Benchmark analysis
 - b. Cross-sectional analysis
 - c. Time series analysis
 - d. All of the above
 - e. None of the above
11. Which one is the most conservative measure of firm's short-term solvency:
 - a. Current ratio
 - b. Cash ratio
 - c. Quick ratio
 - d. All of the above
 - e. 'a' and 'b'
12. A more comprehensive measure of firm's ability to service its debt is:
 - a. Total debt ratio
 - b. Interest coverage ratio
 - c. Fixed charge coverage ratio
 - d. All of the above
 - e. None of the above
13. Which of the following is the most direct measure of firm's asset use efficiency?
 - a. Profit margin
 - b. Equity multiplier
 - c. Total asset turn over
 - d. Return on asset
 - e. None of the above

Based on the following data, answer questions 14 to 17 below.

ZEMENAY Company reported the following data for 2022:

Net Profit Margin	10%
Total Asset Turnover	4
Total Debt Ratio	60%
Credit sales	Birr 2,920,000
Average Accounts Receivable	Birr 160,000
Cost of Goods Sold Rate	40%
Day's sales in inventory	15 days

14. What is the return on asset (ROA)?
 - a. 24%
 - b. 40%
 - c. 60%
 - d. 120%
 - e. None of the above
15. What is the return on equity (ROE)?
 - a. 100%
 - b. 80%
 - c. 120%
 - d. 150%
 - e. None of the above
16. What is the average collection period for credit sales?
 - a. 30 days
 - b. 45 days
 - c. 20 days
 - d. 25 days
 - e. None of the above
17. What is the average inventory of the year 2022?
 - a. Birr 48,000
 - b. Birr 96,000
 - c. Birr 100,000
 - d. Birr 72,000
 - e. None of the above
18. Which of the following measure is superior over the others in evaluating the performance of management in terms of maximizing the wealth of firm owners in a particular year?
 - a. Return on equity
 - b. Market value added
 - c. Economic value added
 - d. Return on asset
 - e. None of the above
19. The future value of an investment would be the lowest when:
 - a. Both the compounding period and rate increase
 - b. Compounding period increases while the interest rate decreases
 - c. Both the compounding period and rate decrease
 - d. Compounding period decreases while the interest rate increases
 - e. None of the above
20. You have a house that can be rented for Birr12,000 annual end of year payments for the coming 20 years, which is the expected life of the house. If your existing bank saving account pays you 4 percent return per year, how much price should you be offered today from a buyer of a house for you to be indifferent between renting or selling the house?
 - a. 163,083.60
 - b. 140,000.80
 - c. 169,606.94
 - d. 150,000.00
 - e. None of the above

21. Considering the information in question (20) above except that your house cannot be begin renting and remain idle until after five years from today (the renting would occur in the sixth year and onwards for of twenty years), what selling price for the house would make you indifferent?
- a. 187,465.20 b. 109,662.00 c. 187,465.20
d. 134,043.60 e. None of the above
22. How long will it take for Birr 10,000 investment made today to grow to Birr 19,672 at a rate of return of 7 percent per year?
- a. 10 years b. 8 years c. 12 years
d. Can't be determined e. None of the above
23. If a building is purchased for Birr 500,000 and expected to be sold for Birr 701,300 after five years, what is the expected rate of return on your investment?
- a. 6 percent b. 9 percent c. 7 percent
d. 7.5 percent e. None of the above
24. You approached a bank to borrow money for business purpose. After careful review of your creditworthiness, the bank offered to lend you the required sum of money that is to be paid after five years with interest rate of 8% compounded quarterly. What is the effective annual rate that you will be paying on this loan?
- a. 8% b. 2% c. 9.52%
d. 8.24% e. None of the above
25. Identify the correct statement
- a. A risk of an asset caused by factors such as war, inflation, high interest rate is systematic risk
b. Diversification helps minimize or even eliminate the systematic portion of the total risk
c. Any where an investor could go, the systematic risk can't be escaped
d. Increasing the number of randomly selected assets in a portfolio reduces the level of systematic risk practically to zero.
e. None of the above
26. An investor has two assets, A and B, with the following details.

	Standard deviation	Beta
Asset A	35%	0.50
B	18%	1.40

Spot the correct statement about these two assets

- a. Asset A has greater total risk
b. Asset B has greater unsystematic risk
c. Asset A will have higher risk premium
d. Asset A will have greater required return
e. None of the above

27. The following data pertain to asset X

$$\sigma_x = 10\%, \sigma_m = 15\%, r_{xm} = 0.8, K_{RF} = 8\%, K_m = 12\%$$

The required rate of return on asset X is

- a. 10.13 % b. 8% c. 12%
d. 12.8 % e. None of the above

Answer questions 28 and 29 based on the following data:

Asset	Beta
A	0.85
B	-0.40
C	1.90
D	-2.00
E	2.00

28. If the market return increases by 25 %, which one of these assets would lose most?

- a. Asset D c. Asset B
b. Asset E d. Asset C e. Assets D and E

29. If the investor were certain that the market would decrease in the future, which asset would be the most preferred?

- a. Asset D c. Asset B
b. Asset E d. Asset C e. Assets D and E

30. Find the wrong statement about portfolio

- The expected portfolio return is simply a weighted average of the individual assets' expected returns
- Portfolio risk is a weighted average of the individual security's standard deviations
- Portfolio beta is a measure of the market risk of a portfolio
- All of the above
- None of the above

You have been given the following historical return data on three assets – A, B, and C, – over the period 2019-2021. Answer questions 8 and 9 based on these data.

	Expected Rate of Return (%)		
Year	Asset A	Asset B	Asset C
2019	18	11	17
2020	16	16	18
2021	20	18	16

31. The most risky asset is
- Asset A
 - Asset B
 - Asset C
 - Can't be determined
 - None of the above
32. The asset that has yielded the most benefit per unit of risk to the investor is
- Asset A
 - Asset B
 - Asset C
 - Can't be determined
 - None of the above
33. Which one of the following statement is not true about the cost of capital of a firm?
- The minimum rate of return a firm must earn to satisfy the overall rate of return required by its investors.
 - The “hurdle rate” with which firm’s long-term investment projects are evaluated.
 - The minimum rate of return a firm must earn on invested capital if its market value should remain unchanged.
 - The value of a firm increases when it earns on invested capital a rate of return greater than the cost of capital.
 - None of the above
34. Assuming the existence of flotation costs, which of the following list includes financing sources from the least to the most expensive for a firm?
- Debt, new common stock, preferred stock, and retained earnings
 - Debt, preferred stock, retained earnings, and new common stock
 - New common stock, retained earnings, preferred stock, and debt
 - Preferred stock, new common stock, retained earnings, and debt
 - None of the above
35. As part of its effort of raising enough funds for an upcoming project, DuDu Company plans to sell 1000 shares of preferred stock at a price of Br 120 per share that pays Br 8.55 dividend per a share every year and it anticipates paying flotation costs of 5%. What is the component cost of preferred stock of DuDu Company?
- 7.5%
 - 7.1%
 - 8.55%
 - 12%
 - None of the above
36. A firm has common stock that currently sells for Br 50 per share. The most recent dividend paid by the firm to common stockholders is Br 2 per share. If the firm’s dividend is expected to grow at a constant rate of 5%, what is the cost of the firm’s common equity?
- 10%
 - 11%
 - 7%
 - 9%
 - None of the above
37. Which of the following statements are incorrect?
- The cost of new common equity and the cost of retained earnings are in the absence of flotation costs.
 - Flotation costs when adjusted to the upfront cost a project it increases the cost of the project in question and its internal rate of return
 - The weighted average cost of capital of a firm is used to evaluate all kinds of projects a firm considers to undertake.

- d. The firm's cost of capital is affected by its capital structure.
- e. None of the above

A corporation that has a marginal tax rate of 40% provided you with the following data:

Capital Component	Market Value	Book Value	Specific Cost of Capital
Debt	200	180	8% (Before Tax)
Preferred Stock	50	40	9%
Common Stock	250	120	12%
Retained Earnings	-	80	10%

Based on the above data answer questions 38 and 39 given below:

38. Based on market value weights, what percent of the firm's total financing comes from retained earnings?
 - a. 40%
 - b. 20%
 - c. 19%
 - d. 30%
 - e. None of the above
39. Assuming that the firm's target weights are the same as its actual market value weights, what is the firm's weighted average cost of capital (WACC)?
 - a. 8%
 - b. 11.7%
 - c. 8.82%
 - d. 10.64%
 - e. None of the above
40. A technique for adjusting the WACC for project's risk differential that attempts to determine a project's beta as the average of the betas of similar companies to the project evaluated know as:
 - a. Risk classification method
 - b. Accounting beta method
 - c. Pure play method
 - d. All except 'a'
 - e. None of the above
41. Factors that influence the cost of capital of a firm but that are not controllable by a particular firm include:
 - a. Investment and dividend policy
 - b. Capital structure and dividend policy
 - c. The level of interest rate and tax rates
 - d. Investment policy and tax rates
 - e. None of the above
42. The market value approach in measuring the mix of debt and equity in a firm's capital structure is condemned for which of the following limitation?
 - a. It produces a historical cost of capital that is inappropriate in evaluating current projects
 - b. It produces a ridged capital structure that is unrealistic
 - c. It produces unstable capital structure that is difficult to monitor as market values are constantly changing
 - d. All of the above
 - e. None of the above

43. One of the following is not true about capital budgeting:
- Capital budgeting is the process of identifying, evaluating, selecting, and implementing long-term investment opportunities
 - Capital budgeting involves investments on fixed (tangible) assets only
 - The selection and implementation of long-term projects that are consistent to the business strategy of the firm and that add to the value of the firm
 - All of the above
 - None of the above
44. An important phase in the capital budgeting process that involves an analysis of the economic viability of the project in question is:
- The proposal or idea generation phase
 - The decision making phase
 - The review and analysis phase
 - The implementation phase
 - None of the above
45. Projects that serve same purpose and compete for same resources are:
- Independent projects
 - Mutually exclusives projects
 - Complementing projects
 - 'a' and 'b'
 - None of the above

Based on the following data, answer questions 46 to 48.

You have two mutually exclusive projects: Project A and Project B. Your firm's cost of capital is 10%. The initial investment of these projects and subsequent cash inflows that occur uniformly throughout each year are summarized below:

Year	Project A	Project B
0	-2,000	-2,000
1	400	1000
2	500	800
3	800	600
4	900	200

46. What is the payback period of Project A and Project B respectively?
- 3.33 and 2.33 years
 - 4.0 and 4.0 years
 - 4.0 and 3.0 years
 - 3.5 and 3.0 years
 - None of the above
47. What is the NPV of Project A and Project B respectively?
- 600 and 600
 - 7.42 and 157.6
 - 145 and 112
 - 75.78 and -45.24
 - None of the above
48. Which project appears to be more attractive based on payback and NPV criteria respectively?

- a. Project B and Project A
 - b. Project A and Project B
 - c. Both chose project B
 - d. Both chose project A
 - e. None of the above
49. One of the following weaknesses is not attributable to Average Accounting Rate of Return:
- a. It doesn't use cash flows
 - b. It ignores time value of money
 - c. It has no objective decision criteria
 - d. It doesn't tell about the impact of a project on shareholder wealth
 - e. None of the above
50. You have a project with initial investment of Birr 43,553 and expected to generate, annual cash inflow of Birr 10,000 in the coming six years. What is the IRR of the project?
- a. 10%
 - b. 15%
 - c. 12%
 - d. 11%
 - e. None of the above

ANSWER SHEET
MULTIPLE CHOICE QUESTIONS
(100%; Use Capital Letters only)

1	11	21	31	41
2	12	22	32	42
3	13	23	33	43
4	14	24	34	44
5	15	25	35	45
6	16	26	36	46
7	17	27	37	47
8	18	28	38	48
9	19	29	39	49
10	20	30	40	50

Name of Student _____

ID No. _____

Section _____